goods and food to boost domestic manufacturing and meet minimum food consumption requirements.

To quote from the First Plan Document:

‘We shall have to provide not only for more food and raw materials to meet the additional demands generated by the expenditure but also for additional machinery, equipment and other producer goods—but a deficit of about Rs 180–200 crore per annum in balance of payments seems likely and even necessary in the remaining years of the Plan. About Rs 50 crore of the balance of payments deficits in this period could be financed each year from the sterling releases.’

India had instituted severe import controls in the 1940s to manage the situation arising from World War II and global shortages of commodities for non-military consumption. There was some liberalization in 1946–48 to meet pent-up demand for consumption and capital goods. The Government of India appointed an Import Control Inquiry Committee in 1950. Its recommendations were basically guided by the realization that the availability of foreign exchange was smaller than the consumption and investment requirement. It is instructive to note the basic objectives set by the Committee for Import Control Policy of India for the 1950s was: to limit aggregate imports on the government and commercial accounts to the total available foreign exchange earnings from different sources, including sterling releases; and to distribute available foreign exchange resources in the most equitable manner among the commodities required for planned development of agriculture and industry and essential requirements of consumers.

Import Substitution and Self-Reliance Defined Trade Policy from the 1960s

The Government of India appointed an Import and Export Policy Committee in 1961 for a fresh review of the general import and export